NOTE 12 - INCOME TAXES

The Company has net operating loss carry forwards for federal income tax purposes of approximately $31,000,000 at December 31, 2009, the unused portion of which, if any, expires in years 2025 through 2029. The Company accounts for income taxes under Accounting Standards Codification 740, Income Taxes "ASC 740". ASC 740 requires the recognition of deferred tax assets and liabilities for both the expected impact of differences between the financial statements and the tax basis of assets and liabilities, and for the expected future tax benefit to be derived from tax losses and tax credit carry forwards. ASC 740 additionally requires the establishment of a valuation allowance to reflect the likelihood of realization of deferred tax assets. Internal Revenue Code Section 382 "IRC 382" places a limitation on the amount of taxable income that can be offset by carry forwards after a change in control (generally greater than a 50% change in ownership). The issuance of the Company's Series A convertible preferred stock on January 15, 2009 resulted in a change of control as defined under IRC 382.

The table below summarizes the differences between the Company's effective tax rate and the statutory federal rate as follows for the periods ended December 31, 2009 and 2008:

	2009	2008
Computed "expected" benefit	$ (2,215,959)	$ (3,141,629)
State tax benefit, net of federal effect	(189,939)	(269,283)
Amortization/impairment of acquisition related assets	564,002	724,266
Stock based compensation	230,478	527,321
Gain on change in fair value of warrants	(203,069)	-
Other permanent differences	57,180	57,489
Increase in valuation allowance	1,757,307	2,101,836
	$ -	$ -

Deferred tax assets and liabilities are provided for significant income and expense items recognized in different years for tax and financial reporting purposes. The components of the net deferred tax assets for the years ended December 31, 2009 and 2008 were as follows:

	2009	2008
Deferred tax assets:		
Net operating loss carry forward	$ 11,888,403	$ 9,589,320
Unearned commission advances	1,315	1,148,421
Compensation expense	90,125	77,094
Depreciation	0	41,011
Lease abandonment	848,798	0
All Other	121,889	444,645
Total deferred tax asset	12,950,530	11,300,491
Deferred tax liabilities:		
Depreciation	(91,561)	0
Software development costs	(118,462)	(317,291)
Total deferred tax liabilities	(210,023)	(317,291)
Net deferred tax asset	12,740,507	10,983,200
Less: Valuation allowance	(12,740,507)	(10,983,200)
	$ -	$ -

Management re-evaluated its 2008 deferred tax assets and reduced such amounts as well as the corresponding valuation allowance by $1,958,944. The adjustments had no effect on the Company's financial position or net income (loss) for the year ended December 31, 2008. The Company believes they will be able to utilize deferred tax assets equal to the total deferred tax liabilities. The Company has fully reserved the deferred tax asset in excess of the deferred tax liabilities due to the substantial uncertainty of the realization of any tax assets in future periods. The valuation allowance was increased by $1,757,307 from the prior year.